



United States
Attorney's Office
Eastern District of Kentucky



Pharmacist Sentenced to Prison for False Medicaid Claims

Wednesday, May 28, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of
Kentucky

FRANKFORT, Ky. – A Georgetown, Ky., man, Justin Bell, 40, was sentenced to 4 months in prison and 4 months home detention by U.S. District Judge Gregory Van Tatenhove, for submitting criminal false claims to Kentucky Medicaid.

According to his plea agreement, Bell was a pharmacist who owned and operated Georgetown Pharmacy. The pharmacy dispensed a variety of prescription medications to retail customers, including medicated pads that manage and prevent scars from burns and other traumatic skin injuries. These scar pads were expensive: Kentucky Medicaid reimbursed pharmacies over \$14,000 for a box of twelve. In March and April of 2020, Bell solicited unwitting Kentucky Medicaid patients to receive the scar pads, even though the patients did not have a medical need for them. In some instances, patients received the pads without discussing them with their providers or using the pads. Bell's pharmacy submitted eight claims for reimbursement to Kentucky Medicaid for the scar pads and caused Medicaid to pay a total of \$118,621.28 for medically unnecessary prescriptions.

Bell paid restitution to Kentucky Medicaid for the offense and was ordered to pay a fine of \$20,000. Under federal law, Bell must serve 85 percent of his prison sentence. Upon his release from prison, he will be under the supervision of the U.S. Probation Office for two years.

Paul McCaffrey, Acting United States Attorney for the Eastern District of Kentucky, Olivia Olson, Acting Special Agent in Charge, FBI, Louisville Field Office, and Russell Coleman, Attorney General for the Commonwealth of Kentucky, jointly announced the sentence.

The investigation was conducted by the FBI and the Kentucky Office of Medicaid Fraud and Abuse Control. Assistant U.S. Attorneys Kate Smith and Andy Smith prosecuted the case on behalf of the United States.

Topic

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